

World in Brief: Trump offers details on the Iran agreement; meets Zelensky



Photograph: Avalon

Donald Trump said America's memorandum of understanding with Iran will ensure Iran never develops a nuclear weapon, without specifying how. At a G7 meeting in France, he also said he will allow Congress to review the deal. Details remain hazy. It is thought that negotiations over Iran's nuclear programme [will continue](#); sanctions relief may be contingent on their progress.

Volodymyr Zelensky, **Ukraine's** president, met Mr Trump at the G7 summit in France. The American president later said that "Russia should make a deal" noting that both sides had many [casualties in the war](#). European leaders have urged Mr Trump to host peace talks. Earlier G7 leaders agreed to tighten sanctions on Russia's energy exports.

A **Russian warship** reportedly fired warning shots near a yacht in the **English Channel**, albeit outside Britain's territorial waters. Britain's defence ministry is investigating the incident, in which no one was hurt. On Sunday British armed forces seized an oil tanker suspected of being part of Russia's "[shadow fleet](#)" in the Channel for the first time.

SpaceX became the world's fifth-most valuable company, as its share price rose by as much as 14% during its third day of trading

since a record-breaking [initial public offering](#). The rocket company passed Amazon's valuation of \$2.67trn (and briefly jumped above Microsoft's \$2.93trn). Earlier SpaceX agreed to buy Anysphere, which makes Cursor, a popular tool for writing code using artificial intelligence, for \$60bn.

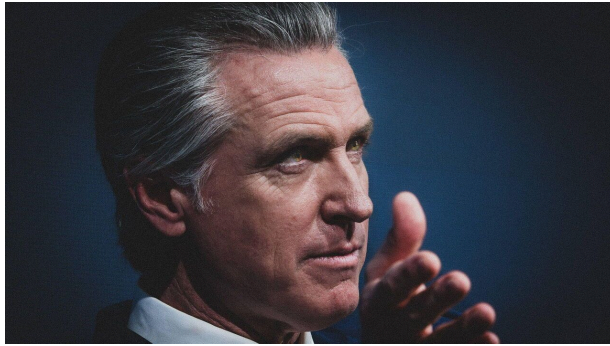
The **European Parliament** approved a [trade deal with America](#), which the bloc's executive struck with the Trump administration [last July](#). The European side of the bargain cuts tariffs on American industrial goods and some agricultural ones. Mr Trump has threatened that if the EU did not ratify those by July 4th, he would retaliate with "much higher" tariffs.

General Motors, a carmaker, and **Lockheed Martin**, a defence company, announced a partnership to boost weapons manufacturing in America. The deal was facilitated by [the Pentagon](#), they said. Lockheed's chief operating officer said production capacity was a "national security capability"; the company will invest \$9bn on modernising facilities over four years. GM said it would spend \$7bn on research and development.

Chinese retail sales contracted by 0.6% year on year in May, their first drop since 2022. Investment in urban fixed assets, such as real estate and infrastructure, fell by 4.1% in the first five months of the year compared with the same period in 2025. Industrial manufacturing offered better news, rising by 4.5% compared with last April. Even so, China's export-based growth model is looking [increasingly shaky](#).

Figure of the day: 76%, the share of Brits who backed a social-media ban for kids in a YouGov poll in March. Read about how the policy, introduced on Monday, captures the [British prime minister's vanilla populism](#).

US in brief: California scheming



Photograph: Alamy

Gavin Newsom, California's [Democratic governor](#), accused the Justice Department of launching a “weaponised investigation” into him and his wife. He said he had “nothing to hide” and that Donald Trump had added the couple to his “hit list” because he is considering a presidential run. Mr Newsom said federal agents had approached people connected to him and his family. One federal probe reportedly concerns his wife's taxes.

Senior technical staff from **Anthropic** met Trump-administration officials in a bid to allay the government's concerns about the artificial-intelligence firm. Howard Lutnick, the commerce secretary, said the White House had prevented non-Americans from obtaining access to [Anthropic's](#) latest Fable 5 and Mythos 5 models on Friday because it feared that rival countries could use the models to gather military intelligence. In response, Anthropic suspended their use altogether.

Georgia will hold run-off elections between Republicans on Tuesday. Mike Collins, a congressman who received a last-minute endorsement from Mr Trump, and Derek Dooley, a former football coach backed by Brian Kemp, the current governor, will compete for the party's nomination for the Senate. Burt Jones, the lieutenant-governor, and Rick Jackson, a businessman, will vie for

the gubernatorial nomination. In November the winner will face Keisha Lance Bottoms, a [relatively weak Democratic candidate](#).

Alaska's director of elections, Carol Beecher, barred Dan J. Sullivan from running for Senate against Dan Sullivan, the incumbent Republican. Senator Sullivan had accused Mr Sullivan, who launched his bid at the 11th hour, of trying to exploit the similarity of their names to “trick” voters in order to benefit Mary Peltola, the leading Democratic candidate. Ms Beecher noted that Mr Sullivan, though running as a Republican, had hired a consultant who usually supports Democrats. Both he and Ms Peltola deny any co-ordination.

Will America's and Iran's deal survive?



Photograph: EPA

“Let the oil flow!” was how Donald Trump announced [America's and Iran's deal](#). America's president said the preliminary agreement was “all signed” on Monday. A lot could go wrong before an official signing ceremony in Geneva on Friday. The “memorandum of understanding” has yet to be published. Its details, such as how much power Iran will hold over the Strait of Hormuz and the precise sanctions relief it will receive, could face opposition in America or Iran. Planned talks over Iran's nuclear programme may quickly fall apart.

The most immediate risk may be Lebanon, where Israel and Hizbullah, Iran's proxy, have been fighting since March. The ceasefire is supposed to put an end to that, but the terms are vague. The deal was almost scuppered hours before the announcement, when Israel launched an air strike on Beirut, the Lebanese capital, claiming it was in retaliation against Hizbullah drones. It may not survive another strike.

Russia and Turkey are out of the honeymoon phase



Photograph: Alamy

Turkey's foreign minister, Hakan Fidan, heads to Moscow on Tuesday to meet Sergey Lavrov, his Russian counterpart. Alongside trade and investment, the pair will discuss geopolitics. Mr Fidan will probably try to gauge Russia's appetite for renewed peace negotiations with Ukraine and suggest Turkey host the next round of talks.

Mr Lavrov, meanwhile, will be eager to show that Russia's relations with Turkey remain strong. His ministry has boasted of frequent phone calls between Russia's dictator, Vladimir Putin, and Recep Tayyip Erdogan, Turkey's president.

But there is [increasing evidence](#) that Turkey is cooling on Russia. In 2017, it purchased a pricey Russian missile system; in response, America slapped Turkey with sanctions. Similar deals seem inconceivable today. Turkey is also keen to capitalise on Russia's dwindling influence elsewhere. It has recently been making overtures to Armenia, where the Western-leaning prime minister just won a parliamentary majority. No amount of phone calls can disguise that.

Japan raises rates again



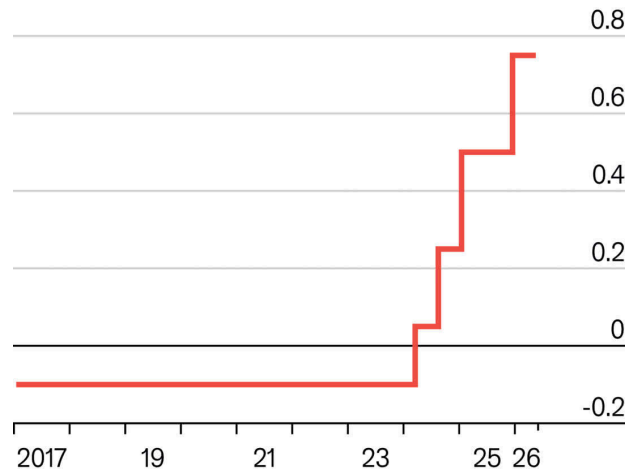
Photograph: Reuters

When Ueda Kazuo agreed to become the Bank of Japan's governor in 2023, he took on one of the world's [hardest monetary-policy assignments](#): undoing years of stimulus, including long periods of negative interest rates. Last week Mr Ueda was taken to hospital with an infected liver cyst. As a result, he missed the bank's rate-setting meeting on Tuesday. Instead a deputy announced the BoJ's most consequential decision in a long while: to raise interest rates from 0.75% to 1%, their highest level in three decades.

The bank also set out its plans for its vast stockpile of Japanese government bonds. During its fight against deflation, the BoJ bought huge amounts, as [public debt](#) ballooned. Since 2024, the bank has slowed its bond purchases and allowed existing ones to mature. That has helped push up long-term bond yields, which recently reached their highest levels in decades. The bank signalled a slower reduction in bond purchases.

Bigger in Japan

Japan, central-bank benchmark interest rate, %



Source: Bank of Japan

The sanctification of J.D. Vance



Photograph: AP

J.D. Vance, America's vice-president, loves a bit of St Augustine. In a 2020 essay that was a little about why he became a Catholic, and a little about why America is going to the dogs, he quoted the fourth-century saint at length. Augustine felt ancient Rome was sinful: it ate, it drank, it debauched. To Mr Vance, this criticism was true of our “modern age”, as well.

Now he is echoing Augustine in form: the saint wrote an autobiography of conversion (arguably the first autobiography ever) in his “Confessions”. On Tuesday, Mr Vance publishes his own conversion memoir, “Communion”. The books could be similar in content, too: both men had odd mother-figures (Augustine's struggled with alcohol; Mr Vance's grandmother, who [raised him](#), poured petrol on his grandfather then set him alight). And both men seem to specialise in deferred holiness. Mr Vance preaches duty, virtue and abstemiousness—yet works for Donald Trump. Perhaps he is inspired by Augustine's most famous prayer: for God to make him chaste, “but not yet”.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: What title is given to the chief adviser to a ruler in the Game of Thrones series?

Monday: *La vache qui rit* is a French cheese brand featuring which animal?

*Humour is the truth; wit is an
exaggeration of the truth.*

Stan Laurel